

cally means it's cheaper for you. Also, with the start of this initiative, the Reserve Bank of India has slashed the charges levied on sellers for facilitating debit card payments.



SBI, Bank of Baroda, Union Bank of India and Bank of India have already joined the bandwagon, and more are expected to follow. In a few years, a 40% decrease in market service charges is expected. With the project still in a very early stage (released earlier this year), expect more development on this front. And with RBI in the game, expect reliability. Keep in mind, though that the system is geared towards making the debit card rates better, with the makers themselves admitting to it.

Another popular method of digital transaction is the (in)famous credit/debit card system. Here's how things go down in that world...

Credit cards

These are one of the most sinister inventions of the modern era. They are basically borrowing tools that will buy stuff for you on the promise that you will pay them back later. But one thing that they do pretty well,



is securing the card from completely external influences. At the heart of this is the magnetic strip of the card.

There are three tracks on the magstripe. Each track is about one-tenth of an inch wide. The ISO/IEC standard 7811, which is used by banks, specifies:

Track one is 210 bits per inch (bpi), and holds 79 6-bit plus parity bit read-only characters.

Track two is 75 bpi, and holds 40 4-bit plus parity bit characters.

Track three is 210 bpi, and holds 107 4-bit plus parity bit characters

When the acquirer company gets the credit-card authentication request, it checks the transaction for validity and the record on the magstripe for:

- Merchant ID

- Valid card number

- Expiration date

- Credit-card limit

- Card usage